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Supreme Court, U.S.
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In The

Supreme Court of the United States

October Term, 1998

ROBERT E. GABLE,

Petitioner,

versus

PAUL E. PATTON; A.B. CHANDLER, III; KENTUCKY REGISTRY OF ELECTION FINANCE; DONALD L. COX; MORRIS E. BURTON; JAMES E. BOYD; and JOHN Y. BROWN, III,

Respondents.

On Petition For Writ Of Certiorari To The United States Court Of Appeals For The Sixth Circuit

RESPONDENTS' BRIEF IN OPPOSITION

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I. STATEMENT OF THE CASE

Petitioner's Statement of the Case is accurate, ***so far as it goes***. But it does not go quite far enough in explaining the background of the case or the status of the parties. Examined in light of Kentucky's compelling interest in combating corruption in campaign fundraising, and in light of the particular aspects of Kentucky's unique approach to public subsidies in exchange for voluntary limits on fundraising and spending, it is clear that the Court ought not grant the petition sought in this matter to review Kentucky's truly unique system of public subsidies and permissible incentives for participation.

Episodes of corruption have been all too common in Kentucky politics.[1] Just since 1979, three Democratic governors have been multi-millionaires who funded their campaigns by loaning hundreds of thousands of dollars to their campaign committees, only collecting contributions to pay themselves back after they were nominated.[2] The lone Democratic candidate who was not independently wealthy, Martha Layne Collins, ran a campaign that nevertheless engaged in apparent abuse of the fundraising laws. Her husband was subsequently convicted of conspiring to extort contributions from those who sought to do business with the Commonwealth of Kentucky and

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[1] Miller, *Kentucky Politics and Government*, 20-34 (1994); Tapp and Klotter, *Kentucky: Decades of Discord, 1865-1900*, 314-48 (1977); Klein, *History of Louisville and Nashville Railroad*, 368-94 (1972).

[2] Total expenditures in gubernatorial elections rose from $1,548,733 in 1975, to $12,194,173 in 1991. Miller, *supra*, 219-26.

was sentenced to federal prison.[3] And during the 1990s, the FBI's investigation into campaign finance violations and bribery by special interests led to more than a dozen legislators being convicted or imprisoned, including the Speaker of the Kentucky House of Representatives.[4]

Against this backdrop, Kentucky enacted its unique system of public subsidies for gubernatorial slates that voluntarily agree to limit their fundraising and spending.

The trigger, Ky.Rev.Stat.Ann. ("KRS") § 121A.030(5)(a), and the 28-day window, KRS § 121A.030(5), are designed to encourage gubernatorial candidates to accept the voluntary expenditure limits which accompany public financing. The trigger provides a safety mechanism for Participating Slates in the event a Nonparticipating Slate spends more than the $1.8 million cap. If that occurs, KRS § 121A.030(5) "triggers" the Participating Slate's corresponding release from the $1.8 million cap. The Participating Slate is then permitted to raise more than $600,000, spend more than $1.8 million, and continue to receive the $2 for $1 match.

To enable the Kentucky Registry of Election Finance (the "Registry") to determine whether the $1.8 million

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[3] See *United States v. Collins*, 78 F.3d 1021, 1026 (6th Cir. 1996), *cert. denied*, 519 U.S. 872 (1996).

[4] See The (Louisville) Courier Journal, Nov. 26, 1995, p. D-3, col. 1; *BOPTROT; The Inside Story: 5 Years, 21 Convictions Later, Probe to End*, The (Louisville) Courier Journal, July 30, 1995, p. B-1; *Anatomy of a Scandal; BOPTROT: The Inside Story*, The (Louisville) Courier Journal, July 30, 1995, p. B-1. See also, *Kentucky Right to Life, Inc. v. Terry*, 108 F.3d 637 (6th Cir. 1997), *cert. denied*, 118 S.Ct. 162 (1997); *United States v. LeMaster*, 54 F.3d 1224 (6th Cir. 1995), *cert. denied*, 516 U.S. 1043 (1996); *United States. v. Blandford*, 33 F.3d 685 (6th Cir. 1994), *cert. denied*, 514 U.S. 1095 (1995).

cap has been exceeded by a Nonparticipating Slate in sufficient time to lift the cap for Participating Slates, the 28-day window requires candidates to accept contributions before the final reporting period, which is 28 days prior to a primary or general election. The window enables the Registry to determine whether a Nonparticipating Slate has received contributions exceeding $1.8 million sufficiently in advance of the election to permit Participating Slates a meaningful opportunity to resume accepting contributions. By providing the mechanism that makes the trigger workable, the 28-day window supplies a vital ingredient in Kentucky's campaign finance reform.

Petitioner Robert E. Gable ("Gable") was a declared candidate for the Republican Party nomination in Kentucky's 1995 Republican gubernatorial primary. Although he met the filing requirements and his name appeared on the ballot, Gable was hardly a serious candidate. According to public records available from the Registry, (together with Donald L. Cox, the "Registry Respondents"), Gable raised and spent only $96,835 in the 1995 campaign. In contrast, the successful Republican candidate spent $1,233,223 in the primary election. Because he declined to participate in the system of public funding for gubernatorial elections created by the Kentucky General Assembly and implemented to combat corruption in Kentucky politics, Gable was ineligible to receive public funds otherwise available pursuant to KRS § 121A.020(1).

Shortly after the filing deadline for the 1995 Republican primary, Gable brought his challenge to the constitutionality of the entire statutory framework for public funding of Kentucky's gubernatorial elections. He claimed principally that the laws violated the United

States Constitution, Amendment I insofar as that amendment prohibits any law abridging the freedom of speech. Gable acknowledges that his is a facial challenge. (Petition 5). "A facial challenge to a legislative Act is, of course, the most difficult challenge to mount successfully, since the challenger must establish that no set of circumstances exists under which the Act would be valid." *Rust v. Sullivan*, 500 U.S. 173, 183 (1991) (quoting *United States v. Salerno*, 481 U.S. 739, 745 (1987)).

This Court has adopted a three-part inquiry for determining the constitutionality of a statute challenged on First Amendment grounds. First, the statute will be upheld if it does not truly burden freedom of expression. Second, even if it creates a burden, the statute may still be permissible if it furthers a compelling state interest. Third, if the statute furthers a compelling state interest, it will be upheld if it is narrowly tailored to further the compelling interest, instead of being overbroad and unnecessarily burdensome on free expression. *Austin v. Michigan Chamber of Commerce*, 494 U.S. 652, 657 (1990); see generally *Buckley v. Valeo*, 424 U.S. 1 (1976). Because both the trigger and the 28-day window are narrowly tailored to serve compelling state interests in avoiding corruption in the election process, Kentucky's statutory plan for public subsidies to candidates who agree to limit fundraising and spending – thereby reducing corruption in the electoral process – meets this test.

After careful review, the District Court in this case found that Gable's challenge was largely without merit:

> Although the additional "2-for-1" incentive is very attractive, such desirability does not make it coercive. Gable cannot articulate why the burden felt by a nonparticipating candidate subsequent to the cap lift is any heavier than that felt

> before the cap is lifted . . . . [T]here is no evidence that this statute creates an unconstitutionally coercive situation for a non-participating slate . . . .

(Memorandum Opinion, Petition 35a-36a). The Court of Appeals affirmed, refusing Gable's invitation to second guess the Kentucky legislature by declaring the system of subsidies and incentives unconstitutional. As explained below, this Court should do likewise.

II. REASONS FOR DENYING THE WRIT

A. THE TRIGGER PROVISION OF KRS § 121A.030(5)(a) IS NOT UNCONSTITUTIONAL.

1. The Trigger Is Consistent With Established Principles And Is Not An Unconstitutional Burden On The Exercise Of First Amendment Rights.

Gable's challenge to the Kentucky statute requires first and foremost that he demonstrate that the 2-for-1 matching aspect of the trigger provision, coming into play after a Nonparticipating Slate of candidates exceeds the $1.8 million spending threshold, constitutes an unconstitutional burden on his First Amendment rights. But the stubborn reality of Kentucky's unique statutory scheme simply makes that impossible. Gable has a right to spend as much as he likes on his own campaign, he asserts, and this Court agreed in *Buckley*. And the simple truth is that Kentucky's plan of public subsidies in exchange for voluntary limits leaves him completely unfettered in his right to raise and spend money. Faced with this truth, Gable is forced to argue that public subsidies that match his own expenditures beyond $1.8 million at the rate of 2-for-1 constitute a *de facto* limitation on his ability to

raise and spend money. Thus, Gable suggests that his "fund-raising success is threatened or hammered [sic] with a state-financed counterattack funded out of all proportion to the actual popularity of the opponent's ideas." (Petition 11). Therefore, Gable argues, public subsidies that match private contributions 2-to-1 above a designated threshold are an unconstitutional burden on his right to spend.

In fact, Gable's effort to distinguish Kentucky's approach to public subsidies for campaigns from the essential elements of the statutes considered in *Buckley* is disingenuous. Gable asserts without basis that "a candidate who seeks to walk away from the public campaign finance program in order to preserve his right to make unlimited campaign expenditures simply cannot do so." (Petition 8). Regrettably, there is no basis in fact for that statement, for Gable is free to do exactly that. For that matter, Gable did exactly that in his 1995 campaign. Disregarding the plain language of the Kentucky statute, Gable observes that the provisions in *Buckley* "placed no limits on the amounts that nonparticipating candidates might raise or spend . . . " (Petition 8), as if to suggest that Kentucky's provisions do. But the reality is that neither Gable nor any other nonparticipating candidate in Kentucky is restricted in the least in the amount that he might raise or spend – just as in *Buckley*.

The Kentucky public financing plan follows the constitutional mandates identified in *Buckley*. A Participating Slate of candidates may choose to adopt voluntary limits on the total amount of contributions it may receive or expenditures it may make, in exchange for public financing. However, there are no limits at all on the total

amount of contributions Nonparticipating Slates of candidates who choose to reject public funding may collect. Consistent with *Buckley*, Nonparticipating Slates may also contribute unlimited amounts of their own money to their campaigns. And there is no limit at all on the amount a Nonparticipating Slate may spend. To the extent that spending is speech as *Buckley* teaches, the Kentucky law simply does not limit in any respect the "speech" of Gable or of any Nonparticipating Slate of candidates. On the contrary, if spending is speech, the provision for 2-for-1 matching subsidies above the trigger almost guarantees that there will be more speech, not less.

In this regard, Gable is wrong when he suggests that under Kentucky's approach, a nonparticipating candidate may not "raise and spend as many legal private contributions as he or she wishes . . . ." (Petition 11). Kentucky's legislation leaves Gable free to do exactly that. What it also does is insure that the campaigns of candidates who agree to voluntary limits will not be "overwhelmed by a counterattack funded out of all proportion to the actual popularity" of the nonparticipating opponent's ideas – to use Gable's words. Instead, the Kentucky approach gives Participating Slates the opportunity to respond to their opponents by removing the spending cap otherwise applicable to Participating Slates of candidates, and provides additional matching funds pegged not to the fundraising of the Nonparticipating Slates, but to their own fundraising. Were it otherwise, it would likely be impossible for a rational candidate to agree to spending limits, simply because the opponent would be permitted to spend a personal fortune, mount a carpet-bombing media

campaign, and obliterate the participating candidate's message.

The trigger and the 28-day window provide the incentive necessary to make public financing and the attendant spending limits pragmatically feasible for gubernatorial candidates. Without the assurance provided by the trigger, few candidates could be expected to accept the voluntary spending limits which accompany public financing, and thereby risk being dramatically outspent by nonparticipating opponents. Without the 28-day window, the Registry would be unable to pull the trigger far enough in advance of the election to permit Participating Slates a meaningful opportunity to respond to their nonparticipating opponents' spending above the $1.8 million cap. Accordingly, the trigger and the window provide inducements to accept public financing which are fully consistent with *Buckley v. Valeo*, 424 U.S. 1 (1976), and its progeny.

Gable is wrong as well in his characterization of the statutory scheme as one "justified by an interest in equalizing the relative ability of individuals and groups to influence the outcome of elections." (Petition 12, quoting *Buckley*, 424 U.S. at 49). The record is plain that Kentucky's interest is in eliminating corruption in politics, by stopping the practice, for example, of selling access to state contracts for campaign contributions. See *United States v. Collins*, 78 F.3d 1021, 1027 (6th Cir. 1996) (former governor's husband convicted of conspiracy to violate Hobbs Act by illegally tying appointments and contracts to contributors). To further this compelling interest, Kentucky provides the Participating Slates the opportunity – not a guarantee – of additional spending by lifting the

cap, and matching 2-for-1 any additional fundraising the Participating Slate may achieve.

The trigger is a nondiscriminatory, content-neutral inducement, narrowly tailored to further Kentucky's compelling interest in eliminating actual and perceived corruption in the election process. Far from imposing an unconstitutional burden on Gable's right of free speech, the trigger facilitates a continued, vigorous exchange of political speech by assuring that a Participating Slate will be released from its voluntary spending limit once a nonparticipating opponent's contributions have exceeded that limit. The trigger produces more speech, not less. See *Rosenstiel v. Rodriguez*, 101 F.3d 1544 (8th Cir. 1996), *cert. denied*, 520 U.S. 1229 (1997).

Another court has already reached this very conclusion regarding the trigger included in the Kentucky law:

> [Even if] the trigger provision chills speech to some degree, we find that it is a narrowly tailored means which addresses a compelling state interest . . . in encouraging candidates to accept public financing and its accompanying limitations which are designed to promote greater political dialogue among the candidates and combat corruption by reducing candidates' reliance on fundraising efforts

Wilkinson v. Jones, 876 F.Supp. 916, 928 (W.D. Ky. 1995).

Buckley squarely approved offering inducements to encourage candidates to accept voluntary spending limits. It follows that Kentucky does not unconstitutionally hamper a nonparticipating candidate's rights when it offers additional funds in reasonable proportion to the additional funds raised once a nonparticipating candidate exceeds the statutory cap. To the extent the

trigger provides for increased debate about issues of public concern, it promotes the free and open debate the First Amendment seeks to foster and protect. See *Mills v. Alabama*, 384 U.S. 214 (1966); see also *Buckley*, 424 U.S. at 92-93 (public financing of campaigns "furthers, not abridges, pertinent First Amendment values").

The critical flaw in Gable's reasoning is his notion that the benefit Kentucky confers on Participating Slates is indistinguishable from a burden on Nonparticipating Slates. But under *Buckley* benefits conferred upon Participating Slates are not unconstitutional burdens upon Nonparticipating Slates. 424 U.S. at 95 (and n. 127 regarding the multiple laws "providing financial assistance to the exercise of free speech."). Accord, *Rosenstiel v. Rodriguez*, 101 F.3d 1544 (8th Cir. 1995); *Vote Choice, Inc. v. DiStefano*, 4 F.3d 26, 38 (1st Cir. 1993); *Weber v. Heaney*, 793 F.Supp. 1438, 1457 (D. Minn. 1992), *aff'd*, 995 F.2d 872 (8th Cir. 1993); *Republican National Committee v. FEC*, 487 F.Supp. 280, 285 (S.D.N.Y.) (three-judge court), *aff'd mem.*, 445 U.S. 955 (1980).

From a constitutional perspective, one's right of expression is not burdened because the expression of another – who accepts the state's conditional offer of assistance – is subsidized. For example, in other cases this Court has held that a state is free to make childbirth a more attractive alternative than abortion, thereby influencing the woman's decision, so long as it imposes no restriction on access to abortions that was not already there. *Maher v. Rose*, 432 U.S. 464 (1977). Explaining that holding, the Court observed:

> Constitutional concerns are greatest when the State attempts to impose its will by force of law; ***the State's power to encourage actions deemed***

> ***to be in the public interest is necessarily far broader.***

Id. at 475-76 (emphasis added). Later, the Court made clear that a state does not unconstitutionally burden the exercise of First Amendment rights when it merely furthers its own value judgments by providing unequal subsidization of one form of expression over another, thereby "encourag[ing] alternative activity deemed in the public interest." *Harris v. McRae*, 448 U.S. 297, 315 (1980).

Kentucky's 2-for-1 subsidy for Participating Slates, matching private expenditures of Nonparticipating Slates above $1.8 million, does not limit in any way the quantity of the Nonparticipating Slate's fundraising or spending. Gable remains free to spend as he likes, irrespective of Kentucky's legislation. His constitutional right to expression is no more burdened than was that of the plaintiff in *Harris*. In *Harris*, the Court confirmed that none of the unconstitutional burden cases implied any limitation on the authority of a state to make a value judgment favoring one expression of First Amendment rights over another, and to implement that value judgment with public funds. 448 U.S. at 314.

The same is true here. Kentucky has placed no limit on any expression of First Amendment rights. It has made a value judgment that as a policy matter, it prefers limited spending to unlimited spending, and it has implemented that judgment with public subsidies. As well, it has acted to further a compelling state interest to fight corruption and to limit the influence of money in politics. To encourage candidates to accept those limits and subsidies, it has provided the opportunity for a Participating Slate to raise and spend additional funds, beyond the $1.8

million spending cap otherwise applicable to Participating Slates, in the event that a Nonparticipating Slate exceeds the cap. And to insure that the logistical problems attendant to reporting spending beyond the threshold do not render that opportunity to respond to spending by Nonparticipating Slates meaningless, Kentucky has established a narrowly-tailored, content-neutral window during which a candidate may not receive outside contributions. All of this is entirely consistent with *Buckley*.

Just as the state in *Maher* had made childbirth a more attractive alternative, thereby influencing the woman's decision, but had imposed no restrictions on access to abortions that did not already exist, Kentucky has influenced the decision whether to participate in the public financing program it created, but has not restricted in any way the ability of a nonparticipating candidate such as Gable to spend as much as he likes.

Moreover, Gable misapprehends the holding of cases like *Memorial Hospital v. Maricopa Co.*, 415 U.S. 520 (1974) and *Speiser v. Randall*, 357 U.S. 513 (1958), when he suggests that Kentucky's trigger is constitutionally flawed because it makes extra funding contingent on his exercise of protected speech. Those cases held that the state may not impose a fine on an individual's decision to exercise a fundamental right, or condition receipt of a benefit on his decision to forgo that exercise. Those cases did not hold that a state is precluded from extending public funds to others, following the exercise of such rights, as a means of implementing the state's permissible value judgment regarding campaign funding while furthering a compelling state interest in eliminating corruption.

In fact, the *Maher* Court highlighted a point that Gable seems unwilling to confront. The unconstitutional condition cases he cites such as *Memorial Hospital* involved burdens imposed by the state that were analogous to criminal penalties. *Maher*, 432 U.S. at 474 note 8. But that is not true here. Just as Arizona was not obliged to "pay the bus fares" of indigent travelers to avoid constitutional infirmity, so Kentucky is not obliged to muzzle the speech of Participating Slates once a Nonparticipating Slate exceeds the threshold. Not only is Gable denied no benefit otherwise available to him but for his exercise of First Amendment rights, see, e.g., *Shapiro v. Thompson*, 394 U.S. 618 (1969), but neither was he directly penalized for exercising his rights through, for example, the use of the state's taxing authority. See, e.g, *Speiser, supra.*

Nor is Gable's reliance on cases like *Miami Herald Pub. Co. v Tornillo*, 418 U.S. 241 (1974) helpful. That case also involved a penalty. The statute compelling the newspaper to print a reply in that case was found to be a penalty both because it took away space from other speech and cost money, and because it intruded into the editorial process. Therefore, under the operation of the Florida statute, "political and electoral coverage would be blunted or reduced." Id. at 257. By contrast, Kentucky does not require Gable to pay for his opponent's speech, or demand that he print it. Similarly, in *Pacific Gas & Electric Co. v. Public Util. Comm'n*, 475 U.S. 1 (1986), the Court struck down a statute that compelled one exercising First Amendment rights to also convey competing points of view. The other cases are of similar effect, and this Court has observed that these cases depend for their conclusions on the analogy between the effect of the

government action involved and the imposition of a criminal fine, simply in response to the exercise of First Amendment rights.[5]

Here, there is nothing of the sort. Kentucky has not retaliated against Gable, and its trigger provision does not lead to retaliation against any Nonparticipating Slate of candidates. No funding that a Nonparticipating Slate would otherwise be entitled to under the law is withheld when the trigger goes into effect. No fine of any sort is levied. ***In fact, Kentucky does nothing at all with respect to the candidate who chooses to exercise his First Amendment rights by spending more than $1.8 million.*** Kentucky withholds nothing, and imposes nothing. It

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[5] In this regard, the Court's reasoning in *Bordenkircher v. Hayes*, 434 U.S. 357 (1977) is instructive. In *Bordenkircher*, the Court observed that "[w]hile confronting a defendant with the risk of more severe punishment clearly may have a 'discouraging effect on the defendant's assertion of his trial rights, the imposition of these difficult choices [is] an inevitable' – and permissible – 'attribute of any legitimate system which tolerates and encourages the negotiation of pleas.' " 434 U.S. at 364 (quoting *Chaffin v. Stynchcombe*, 412 U.S. 17 (1973)). Just as it followed in *Bordenkircher* that "by tolerating and encouraging the negotiation of pleas, this Court has necessarily accepted as constitutionally legitimate the simple reality that the prosecutor's interest at the bargaining table is to persuade the defendant to forgo his right to plead not guilty," 434 U.S. at 364, this Court's express approval and encouragement of campaign subsidies, see *Buckley* at 90, suggests quite strongly that the Court has accepted as constitutionally legitimate provisions such as the trigger, which simply provide appropriate – and permissible – incentives to participation.

simply provides for additional funds, reasonably related in amount to the additional funds raised by the Participating Slate after a Nonparticipating Slate exceeds the threshold, to allow for more discussion of the issues, not less.

Gable's reliance on *Rust v. Sullivan*, 500 U.S. 173 (1991) is equally misplaced, for that case demonstrates plainly why Kentucky's approach is constitutionally permissible. In *Rust*, the Court held that it is not unconstitutional for the government "to fund a program dedicated to advance certain permissible goals, because the program in advancing those goals necessarily discourages alternative goals . . . ." Id. at 194. In that case, abortion rights advocates complained that by funding doctors who advocated alternative methods of family planning but not abortion, as the Title X funds involved required, while barring funding to doctors who counseled abortion, the government had unconstitutionally denied their First Amendment rights by facilitating the expression of one point of view without also facilitating the expression of the alternative view.

The Court held otherwise, reasoning that the law simply involved the government refusing to fund activities, including speech, which are specifically excluded from the scope of the project funded. This Court's reasoning in *Rust* is equally applicable here:

> Petitioners' assertions ultimately boil down to the position that if the Government chooses to subsidize one protected right, it must subsidize analogous counterpart rights. But the Court has soundly rejected that proposition . . . . Within far broader limits than petitioners are willing to concede, when the Government appropriates

> public funds to establish a program it is entitled to define the limits of that program.

Id. at 194.

Notwithstanding Gable's suggestion to the contrary, Kentucky does not single out any campaign because of any concern for the popularity of its ideas. None of the cases Gable cites involved conferring a benefit on a third party as a result of the petitioner's exercise of free speech. And none of those cases equated the benefit to the third party with a burden on the speaker.

On the contrary, the *Maher* Court pointed out that a state is free to provide subsidies to some candidates but not all candidates even if that results in one candidate's speech being enhanced to the detriment of the other. Speaking specifically in the context of subsidies available to one political candidate that were not available to another, the Court noted that "[a]ny disadvantage suffered by operation of the eligibility formulae . . . is thus limited to the claimed denial of the enhancement of opportunity to communicate with the electorate that the formulae afford eligible candidates." Id., note 9 (quoting *Buckley*, 424 U.S. at 94-95). Thus, the Court has already rejected the central premise of Gable's argument, that the government may not subsidize one's exercise of First Amendment rights if by doing so it has the effect of hampering the effectiveness of another's expression.

In *Republican National Committee*, the three-judge court rejected almost precisely Gable's challenge. The plaintiff there made the same "benefits equals burdens" argument advanced by Gable in this case:

> We have no difficulty concluding that the imposition of such conditions lies within Congress' power to legislate . . . and that, as long as the candidate remains free to engage in unlimited

> private funding and spending instead of limited public funding, the law does not violate the First Amendment rights of the candidate or supporters . . . . The fact that a statute requires an individual to choose between two methods of exercising the same constitutional right does not render the law invalid, provided the statute does not diminish a protected right or, where there is such a diminution, the burden is justified by a compelling state interest.

487 F.Supp. at 284-85. Here, of course, Gable and every Nonparticipating Slate is completely free to "engage in unlimited private funding and spending. . . . "

More recently, the First Circuit flatly rejected Gable's "benefits equals burdens" argument in *Vote Choice, Inc. v. DiStefano, supra.* In that case, a candidate contested the Rhode Island statute which permitted publicly financed candidates to receive matching contributions in amounts twice as large as the limit on contributions to candidates rejecting public financing. The First Circuit unanimously rejected an analysis indistinguishable from Gable's:

> [The benefit provided to candidates agreeing to expenditure limits] is, therefore, a premium earned by meeting statutory eligibility requirements rather than a penalty imposed on those who either cannot or will not satisfy the requirements . . . .
>
> [T]he distinction that [Plaintiff] struggles to draw between denying the carrot and striking with the stick is, in many contexts, more semantic than substantive . . . . The question whether Rhode Island's system of public financing imposes a penalty on non-complying candidates or, instead, confers a benefit on those who do comply is a non-issue, roughly comparable to bickering over whether a glass is half full or half

> empty . . . . [T]he blurred line between benefit denials and penalties is singularly unhelpful in the zero-sum world of elective politics. Because a head-to-head election has a single victor, ***any*** benefit conferred on one candidate is the effective equivalent of a penalty imposed on all other aspirants for the same office. In the last analysis, then, [Plaintiff's] fancied distinction proves too much.

4 F.3d at 38 (emphasis in original).

The Eighth Circuit has also considered Gable's "benefits equals burdens" reasoning, and reached the same conclusion. *Rosenstiel v. Rodriguez*, 101 F.3d 1544 (8th Cir. 1996), *cert. denied*, 520 U.S. 1229 (1997). At issue in that case was a Minnesota statute very much like Kentucky's trigger provision. Under the Minnesota statute, "the triggering event . . . occurs when any non-participating opponent reaches a specified threshold in campaign contributions or expenditures." Id. at 1547. In upholding the Minnesota trigger provision, the Eighth Circuit echoed the First Circuit's analysis:

> These inducements, however, do not per se render the State's scheme coercive because they are not inherently penal.
>
> Further, the inclusion of these additional inducements in the State's public financing package does not cause the package to become so benefit-laden as to create such a large disparity between benefits and restrictions that candidates are coerced to publicly finance their campaigns. Rather, by including these additional inducements, the State's scheme achieves a relative balance between the benefits provided to publicly financed candidates and the restrictions the candidates must accept. The expenditure limitation waiver, which permits a publicly

> financed candidate to exceed the expenditure limits while retaining the public subsidy when opposed by a nonparticipating candidate who has spent or received contributions beyond the triggering amounts spelled out in the statute is simply an attempt by the State to avert a powerful disincentive for participation in its public financing scheme: namely, a concern of being grossly outspent by a privately financed opponent with no expenditure limit.
>
> We believe the statute is not coercive because it permits the nonparticipating candidate to raise a certain measure of funds before triggering the expenditure limitation waiver for his participating opponent. Rather than releasing the participating candidate from the expenditure limits at the outset, the statute as it now stands permits the nonparticipating candidate to control whether and when the participating opponent will be freed from the limits.

Id. at 1550-1551. See also, *Weber v. Heaney*, 793 F.Supp. 1438, 1457 (D. Minn. 1992) ("The First Amendment is not implicated where candidates remain free to choose between funding alternatives").

As the District Court said in this case:

> Here, there is no argument that "2-for-1" funding makes it nearly impossible for the candidate running on private contributions to win the race. There is no argument that the statute effects, much less coerces, the initial decision made: whether the candidate can get his message to the public on $1.8 million or less.

(Memorandum Opinion, Petition 36a).

Gable complains that Participating Slates will receive a subsidy no matter how much his fundraising success is

due to the popularity of his ideas, and no matter how much the matching funds will "distort the apparent popularity of the participating candidate." (Petition 8). But he misses the point. A Participating Slate receives 2-for-1 matching funds after the cap is lifted not based on the opponent's fundraising success, but on its own. And Kentucky's funding provisions are content neutral. Once it raises the qualifying amounts, a slate qualifies for the public subsidy irrespective of the popularity of its ideas.

Further, Gable's implicit suggestion that his potential fundraising prowess is an accurate measure of "the popularity of his ideas", (Petition 8) is off the mark from a constitutional perspective. Because he is free to contribute and spend as much of his own money as he likes, but for the trigger a wealthy candidate like Gable could raise and spend millions more in his campaign than could a Participating Slate. Yet the aggregate amount of dollars raised and spent would say nothing about the "popularity of his ideas" relative to those of his opponent. And it is precisely because of the long history of corruption that surrounds the fundraising process in Kentucky that the state sought to implement its permissible value judgment and to cap, if possible, the amount of contributions that might be needed in the first place.

In an age of campaigning by sound bite, Gable seems inclined to pursue constitutional jurisprudence by snippet. His suggested Hobson's choice, and his reference to *New York v. United States*, 505 U.S. 144 (1992), is an example of this approach. *New York* involved an analysis of an act of Congress imposing obligations on the states with respect to the disposal of low level radioactive waste. The legislation essentially gave the states a choice between two plainly unconstitutional options, and violated the

separation of powers aspects of the constitution and the Tenth Amendment.

Gable's snippet from *New York* has no relation to the issues raised in this petition, and does nothing to demonstrate any choice between two unconstitutional alternatives. Quite the contrary, Kentucky offers participating and nonparticipating candidates alike a perfectly permissible alternative: agree to limit your fundraising and spending, and the state will subsidize your campaign with two dollars for every dollar you raise privately. Or spend as much as you chose to, i.e., engage in as much constitutionally protected speech as you like, and the state will assist any candidate who has agreed to the limits with additional 2-for-1 matching funds above a given threshold. In other words, the state will see to it that if the nonparticipating candidate engages in more speech, the participating candidate will have an opportunity to do so as well.

Seen in this light, Gable's fanciful Hobson's choice is in reality little more than a choice between two perfectly constitutional options: less spending and public funds, or more spending by participating and nonparticipating slates alike. Gable is perfectly free to walk away from the public campaign financing program offered by Kentucky. He did so in the 1995 campaign.

2. Because Gable Is Not A Declared Candidate In The Current Gubernatorial Campaign, He Lacks Standing.

In his petition, Gable suggests that he "has expressed his interest" in running for governor of Kentucky in the 1999 gubernatorial race. (Petition 5). In fact, Gable has not

filed papers with the Kentucky Board of Elections declaring his candidacy in the Republican Party primary for the 1999 gubernatorial election. Under Kentucky law, he is no longer eligible to do so, since the filing deadline for the May 25, 1999 primary election was January 26, 1999. KRS § 118.165.

Consequently, Gable's asserted interest in running for governor at this point is entirely academic, and he lacks standing. The standing question involves an analysis concerning "whether the litigant is entitled to have the court decide the merits of the dispute or of particular issues." *Warth v. Seldin*, 422 U.S. 490 (1975). The standing inquiry has two parts:

> First, whether the plaintiff-respondents allege "injury in fact" that is, a sufficiently concrete interest in the outcome of their suit to make it a case or controversy subject to a federal court's Art. III jurisdiction, and, second, whether as a prudential matter, the plaintiff-respondents are proper proponents of the particular legal rights on which they base their suit.

Singleton v. Wulff, 428 U.S. 106, 112 (1976). See also *Valley Forge Christian College v. Americans United For Separation of Church and State, Inc.*, 454 U.S. 464, 471 (1982).

Without question, Gable at this point lacks the sufficiently concrete interest in the outcome of the suit he originally filed to make it a case or controversy for purposes of Article III jurisdiction. His interest is no more concrete than that of more than 3.7 million other Kentuckians who will not run for the nomination of their party for the office of governor in the upcoming election. As such, he plainly lacks a sufficiently concrete interest in the matter to confer standing. *Singleton*, 428 U.S. at 112. See also, *Spector Motor Service, Inc. v. McLaughlin*, 323 U.S.

101, 105 (1944) (the Court will "not to pass on questions of constitutionality . . . unless such adjudication is unavoidable."). Gable's failure to file papers declaring himself a candidate in the 1999 gubernatorial election in Kentucky removes any vestige of standing he may once have had to assert this facial challenge to the constitutionality of Kentucky's campaign finance laws, and renders his challenge moot.

Even if Gable could meet the technical requirement for injury in fact, he plainly is not a proper proponent of the particular rights in question. Because he only raised and spent $95,835, Gable never approached the threshold for triggering the release to his Republican primary opponent of the additional public funds. Absent a clearer indication of serious intent in the current campaign, Gable's somewhat half-hearted 1995 campaign ought not to serve as the basis for the frontal assault on Kentucky's unique comprehensive approach to campaign finance reform and the elimination of corruption that he has mounted.

Moreover, Gable may not assert standing – as he attempts to do – because of any concern for the rights or interests of other candidates generally, whether in future Kentucky elections or in elections to be held in other states. (Petition 7). Thus, Gable's general references to campaign financing laws in other states, as well as his reference to the need for this Court to "clarify the application of *Buckley* to such measures," amounts to little more than an attempt to bootstrap his own abstract interest into a sufficiently concrete interest. Equally unhelpful to the standing analysis is Gable's effort to invoke the rights of hypothetical candidates in elections yet to be called, whose claim to office "might [be] . . . cast into

doubt" (Petition 7), absent this Court's decision to consider his challenge to Kentucky's unique system of incentives and public subsidies.

A plaintiff generally must assert his own legal rights and interests, and cannot rest his claim to relief on the legal rights or interests of third parties. *Warth*, 422 U.S. at 499. See also, *Barrows v. Jackson*, 346 U.S. 249, 255-56 (1934). Especially in light of his failure to file as a candidate in the 1999 Republican primary, Gable's claim for relief rests almost entirely on the abstract rights or interests of others. As such, he fails to establish either element of standing, and this Court ought not review such an intricate constitutional question under the circumstances.

3. Kentucky's Unique System Is Not Sufficiently Similar To Those Of Other States To Warrant Review.

Wholly apart from the technical standing issues, this Court ought not grant the writ because the statutory provisions reviewed below are neither in conflict with the provisions of other states nor sufficiently analogous to those of other states to provide an appropriate framework for undertaking the kind of overall review of campaign finance legislation in light of the First Amendment that Gable claims is in order.[6]

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[6] Of course, the District Courts in Kentucky as well as the Sixth Circuit itself have had little difficulty in analyzing the issues regarding Kentucky's approach that have been brought before them thus far. In addition to the decisions below, see *Wilkinson v. Jones*, 876 F.Supp. 916 (W.D.Ky. 1995) and *Kentucky Right to Life, Inc. v. Terry*, 108 F.3d 637 (6th Cir. 1997), *cert. denied*, 118 S.Ct. 162 (1997).

Recognizing that he cannot suggest such a split in the decisions of the Courts of Appeals, Gable tries to suggest instead that his case nonetheless raises "issues of serious national importance", issues that "were not resolved by this Court's decision in *Buckley*. . . . " (Petition 6). Suggesting without asserting that other states have enacted publicly funded campaign finance reforms essentially similar to Kentucky's, Gable suggests as well that "a growing number of states are adopting schemes designed to inhibit political expenditures indirectly." Id.

To give some credence to his "everybody is doing it like Kentucky" argument, Gable alludes to campaign finance reform measures enacted in Maine, Arizona, Massachusetts, Colorado, Minnesota, Michigan, and Rhode Island. (Petition 7). Of these, Gable only suggests two – Maine and Arizona – that even arguably operate within the same basic framework as does the Kentucky system, by providing additional subsidies to participating candidates after a nonparticipating candidate has both opted out of the system and raised or spent more than a legislatively determined threshold.

The other states offer far different incentives, a point that Gable acknowledges only obliquely, and one that simply highlights how unrelated to the issues in this case the issues that might arise in those other states are likely to be. And for good measure, Gable argues ominously that "advocates of campaign finance reform are actively seeking to promote similar efforts in other states . . . " (Petition 7), suggesting the need for some prophylactic general discussion post-*Buckley* of constitutional principles potentially relevant to corruption fighting legislation.

In fact, Gable's principal argument for granting the writ is likely the strongest argument for denying it. "Whether such measures [enacted by other states] unconstitutionally penalize nonparticipating candidates' rights to spend political money free of government-imposed limits," (Petition 7), is hardly a question that can best be addressed in the context of this matter. Kentucky's program of public funding for Participating Slates of candidates is unlike those mentioned in the petition.

For example, Gable cites the Maine provisions found at 21 Me.Rev.Stat.Ann. §§ 1121-1128, enacted in 1996. Yet the District Court that considered an initial challenge to that law found that even in the context of a dispute in that state, the matter was not ripe for adjudication.

> State election campaigns . . . in the year 2000 . . . are conditioned on too many intervening contingencies to make this matter appropriate for review in federal court now. The outcome of the intervening 1998 election; unforeseen issues confronting the Legislature and the electorate in 1999 and 2000; these politicians' career choices . . . ; political shifts – the list is endless . . . .

Daggett v. Devine, 973 F. Supp. 203, 204 (D. Maine 1997).

It seems unnecessary to point out that this Court does not issue advisory opinions, and does not decide constitutional questions "unless such adjudication is unavoidable." *Spector Motor Service*, 323 U.S. at 105. Thus, Gable's suggestion that "if this Court does not clarify the application of *Buckley* to ***such measures***," (Petition 7), then those other statutes may be subject to multiple lawsuits, as well as his suggestion that "uncertainty about the constitutionality of ***such measures*** will" – somehow – "disturb the orderly process of electoral decisionmaking . . . " (id.), is little more than an appeal for this Court

to grant the petition as a prelude for some sort of exegesis on the constitution and campaign finance law generally.

In truth, the suggestion by Gable that failure to grant the petition might permit continued uncertainty about the constitutionality of other campaign finance reform measures, thereby casting into doubt the outcome of some future elections which, one supposes, might actually bring down our entire system of government, seems quite farfetched. As well, it seems to reflect the realization that whatever the merits of the Kentucky approach, its unique aspects and limited application to broader constitutional issues makes it particularly unsuited to serve as the platform from which to launch the broadside attack on campaign finance reform measures generally that Gable and his ACLU confederates have in mind.

B. THE 28-DAY WINDOW BANNING OUTSIDE CONTRIBUTIONS FOR A LIMITED PERIOD OF TIME IS NOT UNCONSTITUTIONAL.

As for the ban on contributions during the 28 days preceding an election effected by KRS § 121A.030(5), the Court of Appeals struck down that portion of the law that barred contributions by the candidates themselves to their own campaigns during the 28 days preceding an election. It upheld the 28-day window provision only with respect to outside contributions. The Registry has not challenged that aspect of the Court of Appeals ruling. At the same time, the ban on outside contributions during this administratively critical period of time is a narrowly tailored provision plainly designed to address a compelling state interest, one consistent with *Buckley* and the constitution generally.

Gable acknowledges that to the extent that the trigger is constitutional, the 28-day window is an integral part of the overall statutory plan. (Petition 17). Gable acknowledges as well that this Court in *Buckley* upheld restrictions on the right of candidates to receive contributions. (Petition 16 quoting the Court of Appeals below, noting that the right of candidates to receive contributions did not emerge "unfettered from the *Buckley* decision.").

But Gable asserts that because Kentucky regulates the timing rather than the amount of contributions a candidate is permitted to receive, its provision is more restrictive of speech and less relevant to preventing corruption than were the restrictions approved in *Buckley*. (Petition 16).

This Court, however, has acknowledged that it should be reluctant to "second-guess a legislative determination as to the need for prophylactic measures where corruption is the evil feared." *Federal Election Commission v. National Right to Work Committee*, 459 U.S. 197, 210 (1982). And Gable cannot challenge the fundamental purpose behind Kentucky's campaign finance provisions. "The government interest in preventing both actual corruption and the appearance of corruption of elected representatives has long been recognized . . . ." Id. The pervasive history of corruption in Kentucky politics, and the corrupting effects of fundraising abuses that have sent former residents of the governor's mansion, Speakers of the House and any number of other high state officials to federal prison cannot be denied. Gable may be concerned with casting into doubt the outcome of some future elections (Petition 7), but Kentucky's General Assembly was justly concerned with the erosion of public

confidence in the Commonwealth's own elections. This is a fully permissible concern of the state government, one that justifies substantial deference.

Given that the 28-day window is a vital component of the public subsidy arrangement, one that is narrowly tailored and logically related in scope and operation to both the trigger provision itself and the goal of combating corruption, it plainly satisfies the requirements of *Buckley* and the constitution generally. As the Court of Appeals noted, under the 28-day window, "[c]andidates will be forced to rearrange their fundraising by concentrating it in the period before the 28-day window begins . . . but . . . such a restriction is justified by Kentucky's interest in combating corruption." (Petition 18a-19a). Given the length of modern campaigns, this modest burden is plainly insufficient to overturn the entire legislative plan.

CONCLUSION

For these reasons, the Registry Respondents, Kentucky Registry of Election Finance and its Chairman, Donald L. Cox, respectfully request that the Court deny the petition for a writ of certiorari. In the event, however, that the Court decides to grant the writ, the Registry Respondents agree with Cross-Petitioner Patton that the entire ruling of the Court of Appeals, including its decision to invalidate that part of KRS § 121A.030(5)

prohibiting external contributions during the 28 days preceding an election, should be reviewed.

Respectfully submitted,

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